

Tax and Transfer-Pricing Memorandum - FY2025

Prepared for Hanseatic Vessel Works Group GmbH. Internal working paper; not legal or tax advice. All entities and VAT numbers in this corpus are fictional.

Rate check performed against public authorities: standard VAT is 19% in Germany and 23% in Poland; German corporation tax is 15%; the standard Polish CIT rate is 19%. Transaction-specific vessel and cross-border treatment still requires evidence and professional review.

1. Group structure

HVW-DE is headquartered in Hamburg and owns 100% of BHW-PL. BHW-PL operates the Gdansk yard. 'Danzig branch' is an old operational label, not a third legal entity, even though several ledgers use GD-YARD as if it were an entity code.

2. Indirect tax

Jurisdiction	Standard VAT	Observed corpus treatment	Review point
Germany	19%	Domestic services generally use DE19	Some vessel deposits were taxed although still liabilities
Poland	23%	Domestic Amber Pilot milestones	One invoice uses 22% from an obsolete template
Cross-border / export	case-specific	Several invoices use 0%	Transport and customer evidence is incomplete

3. Corporate income tax

- Germany: 15% corporation tax before solidarity surcharge and local trade tax. The workbook's 30% blended planning rate is not a statutory rate.
- Poland: standard CIT rate 19%. A 9% rate may exist for qualifying small taxpayers, but BHW-PL is not assumed to qualify in this corpus.
- Taxable profit does not equal cash receipts. Customer deposits and intercompany cash movements require classification first.

4. Transfer pricing

The signed group policy uses cost plus 5% for routine engineering and yard labour. Q2 engineering was charged at 7.5% in the intercompany workbook with no amendment. A year-end HQ management fee of EUR 126,000 has no service agreement attached.

Consolidated sales must eliminate intercompany revenue. The elimination journal is incomplete: one receiving-side booking is missing and the Q2 pair differs by EUR 1,400.

Appendix A - copied local tax template

The appendix below was copied from a 2010 Danzig-yard onboarding file. It is retained because staff still use it, not because it is correct.

Code	Description	Rate	Status
PL22	Polish standard output VAT	22%	OBSOLETE - nevertheless used on PL/2025/00901
PL0-EU	Intra-EU supply	0%	Only if legal conditions and evidence are met
DE19	German standard VAT	19%	Current standard rate

Public sources checked

EU VAT rates: https://europa.eu/youreurope/business/finance-and-tax/vat/vat-rules-rates/index_en.htm

German corporation tax:

<https://www.bundesfinanzministerium.de/Content/DE/Glossareintraege/K/koerperschaftsteuer.html>

Polish CIT rates: <https://www.podatki.gov.pl/podatki-firmowe/cit/cit-klasyczny/stawki-i-limity>